

CASE STUDY OF SERVICE RETAIL STORE

A Proposal report for BDM Capstone Project

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DECLARATION STATEMENT

I am working on a Project titled “Case Study of Service Retail Store ”. I extend my appreciation to Mr MD. Tahir, for providing the necessary resources that enabled me to conduct my project. I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered through primary sources and carefully analyzed to assure its reliability. Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures. I am dedicated to adhering to the information of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report. I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority. I agree that all the recommendations are business-specific and limited to this project exclusively, and cannot be utilized for any other purpose with an IIT Madras tag. I understand that IIT Madras does not endorse this.

FAZLUN NISHA

1.EXECUTION SUMMARY :

Service Retail Store ,Owned and managed by Md. Tahir is a neighbourhood retailer shop located near Aliah Madrasah University, Kolkata ,West Bengal(700016). Serving the everyday needs of the local community , the store offers a wide range of household essentials and grocery items, operating as a traditional B2C retail outlet in an urban city.

Despite its established presence and loyal customer base, Service Retail Store is currently facing significant challenges common to many traditional retailers,the shop faces three interrelated problems:

inefficient inventory management across product categories with differing demand cycles, leading to overstocking of slow-moving items and stockouts of fast-moving essentials; **weak customer retention** amid growing competition from quick-commerce platforms and nearby stores, with no existing mechanism to track repeat visits; and **underutilized cross-category selling potential**, where the shop's unique mix of essentials, food, and stationery is not leveraged through strategic product placement or bundling to increase basket size.

This case study aims to analyse the core business issues affecting the Service Retail store through a data driven approach .By examining sale trends ,inventory practices,and market competition .The project will help to identify actionable strategies to optimize inventory,enhance profitability , and strengthen the store's competitive position. Expected outcomes include a revised inventory ordering strategy, a targeted customer retention plan, and actionable product placement recommendations — collectively aimed at reducing waste, improving customer loyalty, and increasing average revenue per transaction. The ultimate goal is to provide practical recommendations to optimize store's operations,financial performance ,and continue serving its community effectively in a dynamic retail environment.

2.Organisation Background:

Business Name: Service Retail Store

Address: 21,Dedar Buksh Lane,near(Elliot Hostel),Kolkata,West Bengal700016

Name of Owner: Md. Tahir

Service Retail Store is a local, independently-owned retail outlet situated at 21,Dedar Buksh lane near Aliah Madrasah and Eliot Hostel,Kolkata West Bengal (700016) . Given its proximity to an educational institution and a student hostel, the store primarily caters to a mixed customer base of students, hostel residents, madrasah staff, and nearby residents, making footfall highly dependent on academic-term patterns and daily student routines.

The shop operates as a single-outlet retail business offering a combined range of household essentials, packaged food items, and stationery supplies — a product mix tailored to meet the daily and recurring needs of its student-heavy clientele, from groceries and snacks to notebooks and writing materials.

Operating in a highly localized, walk-in-driven market, Service Retail Store competes with nearby general stores and increasingly with quick-commerce delivery apps, making efficient inventory handling, customer retention, and smart product placement critical to its sustained profitability and relevance.

3.Problem Statement

3.1 Inefficient Inventory Management Across Product Categories

Service Retail Store lacks a data-driven system to manage inventory across essentials, food, and stationery, resulting in overstocking of slow-moving items and stockouts of fast-moving ones. This study aims to analyze sales and stock data to design category-specific reorder strategies that reduce wastage and improve stock availability.

3.2 Problem Statement 2: Declining Profit Margins Despite Steady Sales

Service Retail Store appears to be experiencing shrinking profit margins even as sales volume remains stable, likely driven by inefficient pricing, high wastage costs, or rising procurement costs relative to selling price. This study aims to analyze cost, pricing, and sales data category-wise to identify margin leakage points and recommend corrective pricing or procurement strategies.

3.3 Problem Statement 3: Underutilized Cross-Category Selling Potential

Service Retail Store's unique product mix of essentials, food, and stationery is not leveraged through strategic layout or bundling, limiting average basket size per customer. This study intends to use transaction data to identify cross-purchase patterns and recommend placement or bundling changes to boost basket value.

4. Background of the Problem

Service Retail Store, like many small independent retailers, operates without formal data systems, relying largely on the owner's intuition and manual record-keeping for inventory, pricing, and sales decisions. This informal approach becomes increasingly inadequate as the store manages a diverse product mix — essentials, food, and stationery — each with different demand cycles, shelf lives, and margin structures, making uniform decision-making prone to error.

Internal factors contributing to these problems include the absence of systematic stock tracking (leading to overstocking or stockouts), lack of category-wise cost-price monitoring (causing unnoticed margin erosion), and unplanned store layout that does not reflect actual customer purchase patterns, limiting cross-selling opportunities.

External factors include rising competition from quick-commerce platforms and nearby stores offering lower prices or added convenience, fluctuating supplier/procurement costs that squeeze margins if not adjusted for in pricing, and shifting customer expectations shaped by digital retail experiences, which traditional stores struggle to match without structured planning.

Together, these internal inefficiencies and external competitive pressures compound one another — poor inventory control increases wastage costs, which further erodes margins, while missed cross-selling opportunities suppress revenue growth needed to offset these pressures, creating a cycle that threatens the store's long-term sustainability.

5. Problem Solving Approach

5.a Detail about Method Used with Justification: Three complementary methods will address the identified problems. For inventory management, ABC analysis and reorder-point calculation will classify products by turnover and value — chosen for its simplicity and fit for a small retailer managing diverse categories with different demand cycles. For declining margins, category-wise margin analysis combined with trend analysis will isolate whether losses stem from pricing, procurement cost, or wastage, linking directly to inventory findings rather than treating margin decline in isolation.

5.b) Data Collection Plan and Justification : For this project I am planning to have records of four types of data: sales, purchase, inventory, and financial. I will begin by collecting **sales data** including product name, sale date, quantity purchased, cost prices, and selling price. This will help me in analyzing fast and slow moving products with estimated demand patterns.

I will also **purchase data such** as item names, quantity purchased, cost price and purchase dates. This will be important for comparing procurement costs and managing supplier efficiency. Next, I will gather **inventory data**, which includes stocks levels, storage duration, expiry date and any damage, outdated products. This will directly help to identify the cause of wastage and blocked capital.

Additionally, I will gather **financial data** like labour costs, rent, electric bill, and taxes to understand overall expenditure of the store. This information is important for analysing profit margins and operational efficiency. The data will be collected manually from a period of 30 to 60 days.

5.c) Detail about analysis tools and justification: I plan to use **Microsoft Excel** initially to organize and clean data. Excel's Pivot tables, formulas like VLOOKUP, and conditional formatting will help me filter key trends, group data, and generate useful charts quickly. Python with pandas and matplotlib will be used for visualizations and extract additional insights.

6. Expected Timeline:

6.1 Work Breakdown Structure:

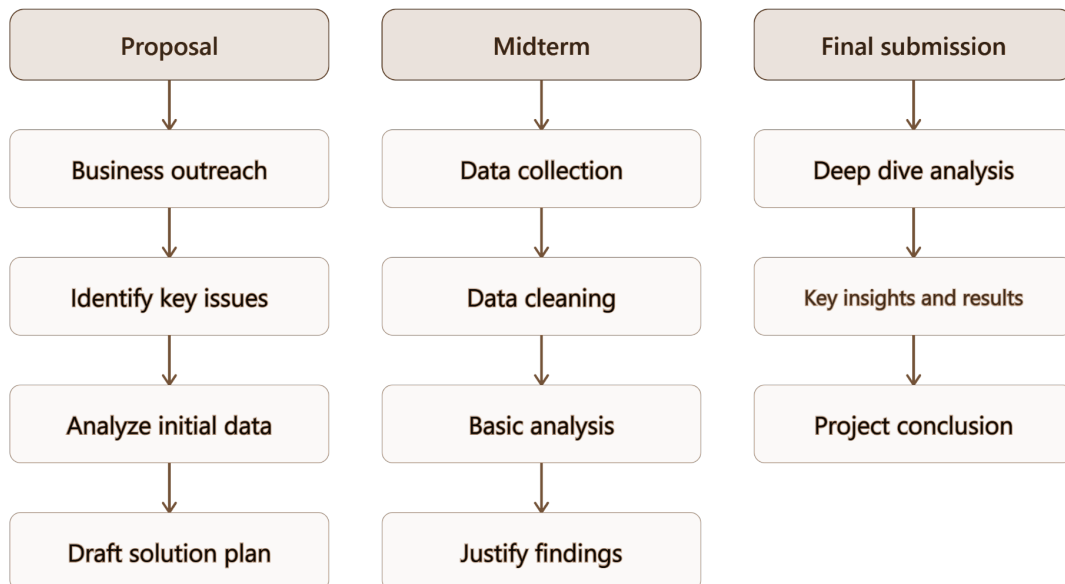


Fig 1 Work breakdown structure of this project

6.2) Gantt Chart

- Discussing with shop owner : 2 May-3May 2026
- Data collection : 3 May-4 July
- Data Cleansing : 11 July-18 July
- Analyzing data : 11 Aug-18 Aug
- Final submission:1-3 September

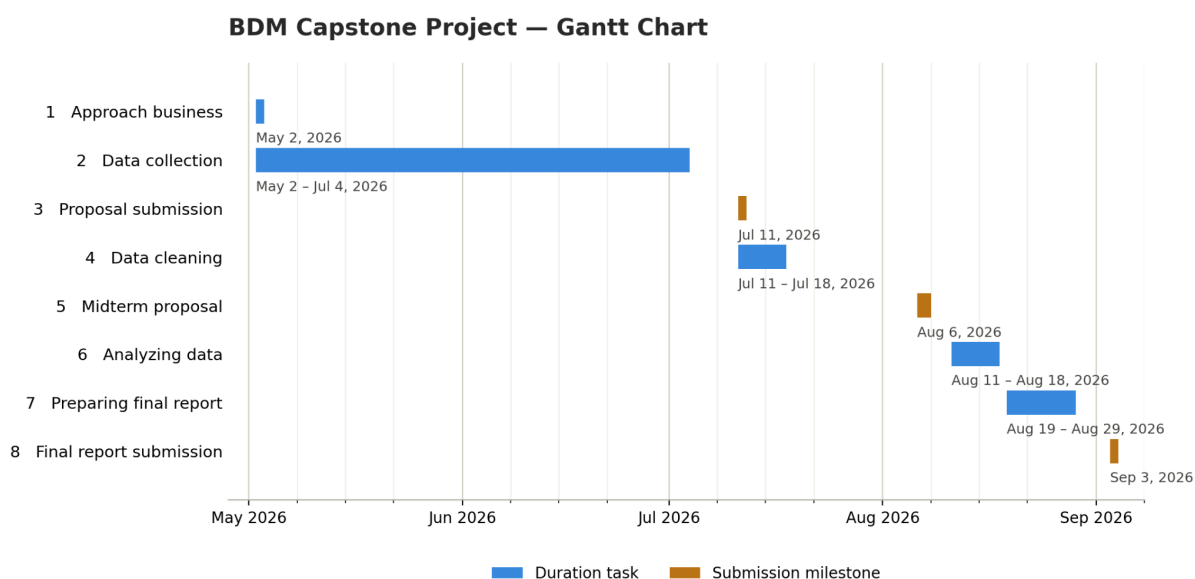


Fig 2 : Expected timeline for completing the Project

7. Expected outcome:

Upon the conclusion of this study, the Service Retail Store will attain a precise, data-backed comprehension of stock flow across categories, facilitating the rectification of stocking imbalances through improved procurement protocols. Furthermore, the margin assessment will pinpoint specific areas of financial leakage—attributable to procurement inflation, wastage, or pricing errors—thereby empowering the management to implement strategic adjustments based on empirical evidence rather than intuition. Finally, the analysis of cross-purchasing behavior among the student demographic will highlight opportunities to enhance average transaction values via optimized store layout and product bundling.